

Expense Reimbursement Policy

Corporate Expense Allocation, Travel & Financial Compliance Framework

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Effective Date: January 1, 2025

Approved By: Chief Financial Officer (CFO)

1. EXECUTIVE SUMMARY & SCOPE

KnowledgeOS Enterprise is committed to ensuring that employees are fully reimbursed for reasonable, ordinary, and necessary business expenses incurred during the performance of official corporate duties. This document establishes standardized financial parameters, approval workflows, documentation standards, and timelines governing business expenditures.

This policy applies to all global regular, part-time, temporary, and executive employees operating on behalf of KnowledgeOS Enterprise.

2. ELIGIBLE & REIMBURSABLE EXPENSES

To qualify for reimbursement, expenses must directly support KnowledgeOS Enterprise business operations, remain within established budget thresholds, and comply with tax deduction guidelines.

Core Reimbursable Categories

Expense Category	Reimbursement Standard	Limits & Spending Caps
Air Travel	Economy Class for domestic/short-haul (<6 hrs); Premium Economy for international (>6 hrs).	Must be booked at least 14 days in advance via Travel Portal.
Ground Transportation	Standard ride-share (UberX/Lyft), taxis, airport shuttles, public transit, or personal mileage.	Personal mileage reimbursed at \$0.67/mile (\$0.42/km). Express options require justification.
Lodging & Accommodations	Standard single-occupancy rooms at preferred 3.5 to 4-star commercial hotel partners.	Tier 1 Cities: Up to \$275/night; Tier 2 Cities: Up to \$185/night (excl. local taxes).
Business Meals	Individual travel dining or client entertainment meals directly supporting business activities.	Individual Per Diem: \$75/day (\$15 Breakfast, \$20 Lunch, \$40 Dinner). Client Meals: Up to \$120/person.
Remote & Office Supplies	Approved ergonomic furniture, monitors, peripherals, and recurring home internet stipends.	Home Internet: Up to \$75/month. Workstation Setup: \$500 one-time annual stipend.
Professional Development	Job-related industry conferences, certifications, technical workshops, and books.	Up to \$1,500/year (Pre-approval by Department VP required).

3. NON-REIMBURSABLE EXPENSES

Expenses incurred for personal preference, convenience, or entertainment, or those violating company ethical policies, are non-reimbursable without exception.

Prohibited Expenditure Notice

KnowledgeOS Enterprise strictly prohibits the submission of personal expenses under corporate accounts. Any attempt to seek reimbursement for personal items or submit falsified receipts constitutes financial misconduct subject to disciplinary action, up to immediate termination.

Examples of Non-Reimbursable Items

- First-Class airfare upgrades or personal airline/hotel lounge memberships.
- Alcoholic beverages consumed outside official client business entertainment dinners.
- Traffic citations, parking tickets, speeding fines, or toll violation penalties.
- In-room hotel entertainment (movies, games, mini-bar snacks), spa services, or laundry service for trips under 4 days.
- Personal grooming, clothing purchase/rental, or luggage purchases.
- Loss or theft of personal items or unapproved cash advances during business trips.

4. TRAVEL, LODGING & MEAL GUIDELINES

4.1 Air & Rail Transportation

All flight and rail reservations must be processed through the corporate travel management portal (Navan / Brex Travel). Unjustified last-minute bookings (fewer than 7 days prior to departure) will require Department Head endorsement.

4.2 Lodging & Accommodation Rules

Hotels should be reserved within the corporate travel engine. Incidentals (personal phone calls, room service, laundry) must be settled using personal credit cards upon hotel checkout and omitted from business expense claims.

4.3 Meals & Client Entertainment

When claiming business meal expenses involving external clients, partners, or vendors, the expense submission must explicitly identify all attendees (Name, Title, Organization) and state the formal business purpose of the meeting.

5. SUBMISSION PROCESS & REQUIRED DOCUMENTATION

To ensure timely processing and compliance with IRS and international tax audit standards, expense reports must be submitted through the corporate expense platform (Rippling Expenses / Navan).

Documentation Standards

- **Itemized Receipts:** Itemized, legible receipts showing line-item details, date, vendor name, and payment confirmation are required for **all expenses exceeding \$25.00 USD**.
- **Credit Card Statements:** Credit card statements or payment confirmation slips alone do **not** substitute for itemized merchant receipts.
- **Missing Receipt Declarations:** If a receipt is lost, a formal "Lost Receipt Affidavit" must be submitted via the HR portal. Frequent lost receipt filings (>2 per quarter) will trigger audit review.

6. APPROVAL WORKFLOW & PROCESSING TIMELINES

Step-by-Step Approval Hierarchy

1. **Employee Submission:** The employee compiles receipts, tags appropriate cost centers/projects, and submits the expense report within **30 calendar days** of incurring the expense.
2. **Direct Manager Endorsement:** The direct supervisor reviews expenses for necessity, budget alignment, and policy adherence within **5 business days**.
3. **Finance Audit Review:** The Corporate Accounts Payable team audits receipts, tax codes, and spending caps within **3 business days**.
4. **Disbursement:** Approved claims are reimbursed directly via direct deposit into the employee's designated payroll account.

Total Claim Amount	Required Endorsement Level	Target Processing SLA
Under \$1,000 USD	Direct Manager Approval	3 to 5 Business Days
\$1,000 – \$5,000 USD	Department VP Approval	5 to 7 Business Days
Over \$5,000 USD	Chief Financial Officer (CFO) Approval	7 to 10 Business Days

7. EMPLOYEE & MANAGER RESPONSIBILITIES

7.1 Employee Responsibilities

- Exercise good judgment and spend company funds as prudently as personal funds.
- Submit expense reports promptly within the mandatory 30-day window following incurring the expense. Expense claims submitted after 60 days will be forfeited.
- Accurately categorize expense line items and attach all required itemized documentation.

7.2 Manager Responsibilities

- Thoroughly verify that all expenses are legitimate business necessities prior to signing off.
- Reject or request adjustments for expenses that violate caps or lack proper receipt backing.
- Ensure reports are reviewed within the 5-day SLA to prevent employee financial hardship.

